Cordoba (Spain), 6 April 2026

Dear members of the EFRAG,

We appreciate the opportunity to comment on *Exposure Draft Amendments to the Fair Value Option for Investments in Associates and Joint Ventures—Proposed Amendments to IAS 28*. We are faculty members of the Department of Financial Economics and Accounting at Universidad Loyola Andalucía (Spain). We hope you find our comments helpful.

We agree with the criteria set out by the IASB in BC9 to address the issue arising from IAS 28, paragraphs 18 and 19. We consider EFRAG's favourable opinion on the IASB's proposal to be appropriate and necessary within the defined scope, as well as the proposed transition requirements. Our letter includes a broader reflection in the event that a more comprehensive reform of IAS 28.18–19 is undertaken.

Please do not hesitate to contact us should you require any clarification or further information.

Sincerely,

PhD Horacio Molina-Sánchez **PhD Marta de Vicente-Lama** **PhD Antonio Barral Rivada**

Universidad Loyola Andalucía

1.- Introduction

The amendment to the Fair Value Option (FVO) set out in IAS 28.18 and 19 is a project that the IASB has proposed with a very limited scope. However, the alternative view expressed by three IASB Board members—calling for a broader reform to ensure that the amendment is more robust from an accounting-principles perspective—is perhaps the most contentious aspect of this consultation.

The core argument of the dissenting view is that fair value measurement through profit or loss provides useful information to users regardless of the investor's business activity. Restricting the FVO to entities that trade in equity instruments and manage those instruments on a fair value basis does not appear to be consistent with the measurement requirements for equity instruments under IFRS 9.

The explanation for this restriction may lie in the fact that the equity method is not regarded in this section of IAS 28 as a measurement basis, but rather as a one-line consolidation procedure. This is a broader debate that many participants in the IAS 28 amendment project[1] have noted as missing, and which IASB staff themselves consider should be addressed from a conceptual perspective—possibly as part of the Fourth Agenda Consultation (Staff Paper, Project plan for redeliberation of the Exposure Draft proposals, June 2025, paragraph 16; available at: ap13-redeliberation-ed-proposals.pdf).

This issue is particularly relevant at present because, for certain insurance entities whose core business activity involves managing these assets, it is not clear whether IAS 28 FVO applies to them. As a result, they would present the results arising from these investments within the investment result category, even though the purpose of these assets is to meet insurance obligations whose recognition and subsequent changes are recorded as operating expenses. This leads to a presentation-related accounting asymmetry that is significant for the analysis of these entities. So significant is this issue that IFRS 18 allows entities within the scope of the IAS 28.18 FVO to change their initial designation between the equity method and fair value through profit or loss at the date of initial application of IFRS 18 (IFRS 18.C7).

2.- Critical Analysis

The debate arises from the **diversity of views** in interpreting the concept of "similar entities" set out in IAS 28.18. This issue was highlighted in the letter from the Insurance Europe CFO Forum (CL 102) and acknowledged by the IASB technical staff. Moreover, the effects of this diversity are significant because, following the issuance of IFRS 18, it will not only affect measurement but will also have a substantial impact on the presentation of results for insurance entities, which manage these investments to meet their insurance liabilities.

[1] Available at: IFRS - Equity Method

One of the debates that has not been addressed in the IAS 28 Amendment Exposure Draft—yet highlighted as important by respondents—**is whether the equity method is a measurement basis or a consolidation procedure**. In our view, clarifying this preliminary question may help explain the underlying positions.

IAS 28.18 treats the equity method as a consolidation procedure because it only allows an alternative measurement of these investments when the management approach represents the entity's main business activity and, therefore, the investments are managed on a fair value basis. This view aligns the one-line consolidation procedure with the investment-entity exception permitted in IFRS 10.31. Under this interpretation, the option to measure investments at fair value would be restricted to associates engaged in this type of activity. However, the fact that this is an option rather than a requirement introduces a conception of the equity method as a measurement basis.

In our opinion, **IFRS 18 views the equity method as a simplified consolidation procedure** which, due to its one-line presentation, cannot be included within operating profit for several reasons: (a) these are investments controlled by another entity, and (b) income and expenses are not disaggregated, affecting margin calculations (IFRS 18.BC114). When these investments qualify as trading assets and measured at fair value through profit or loss accordingly, they can be included within operating profit.

The proposal included in the Exposure Draft on the FVO maintains the view that the equity method is a consolidation procedure and therefore limits the use of fair value to entities that manage these investments as their main business activity (such as venture capital organisations, mutual funds, unit trusts, or insurance entities that manage such assets as a core activity) and thus rely on fair value as the relevant measurement basis. The alternative view, put forward by three IASB Board members, is grounded in the idea that the equity method is a measurement basis. Accordingly, their position is based on the following ideas: (a) fair value provides more relevant information to users than the equity method; (b) it is consistent with the measurement of similar financial instruments; and (c) an unrestricted approach would prevent the requirements from being regarded as sector-specific rather than principle-based.

If the equity method were considered a measurement basis, it would represent a current-value measurement of the investment based on realised results from the investee, rather than expectations of future performance, which are embedded in any fair value measurement. Under that view, the arguments for excluding investments measured using the equity method from operating profit would no longer hold.

In the case of insurance entities whose investments in associates and joint ventures are intended to meet long-term obligations, updating the carrying amount based on realised returns (the investment income obtained) rather than expected future returns (embedded in fair value) would be more meaningful to. This would also avoid the volatility highlighted in some comment letters on the IAS 28 Amendment to Equity Method project (CL102, European Insurance CFO Forum, Q11: "beyond the fact that it may create artificial volatility in profit or loss compared to an accounting equity method based on cost for some funds").

3.- Conclusions

The debate is of such depth that it cannot be addressed only partially and may require a comprehensive reconsideration of the equity method and, possibly, of related standards such as IFRS 18.

The proposal could have explicitly referred to insurance entities; however, it may be the case that insurance entities do not manage these investments as part of their main business activity. If so, it would be inappropriate to deny them access to the FVO. Conversely, even when investments are managed as a main business activity—as in the case of private equity investments—this does not necessarily imply that they must be measured at fair value; however, if they are not, their results would be presented within the investment result category. Whether this classification is appropriate is not resolved by the FVO but would instead require an amendment to IFRS 18..

Introducing the concept of "similar entities," drafted as a principle—"those that have a main business activity of investing in particular types of assets (see paragraph 49(a) of IFRS 18)". Under the wording currently in force, an entity with an investment business in such assets would classify holdings that do not confer significant influence within operating profit, as they constitute a main business activity, while classifying the results of investments in associates and joint ventures within the investment result category. For the latter, the entity could not elect fair value measurement because the paragraph is drafted as an exception for a specific type of entity rather than as a principle.

A broader change—beyond the scope of the current project—**might raise questions as to whether the consultation process has been sufficient**. Although experience under US GAAP is positive and no unintended consequences would be expected, we favour a limited solution for two reasons. First, consultation on the unrestricted use of the FVO would require a deeper analysis of the nature of the equity method. Second, from a due-process perspective, it is more appropriate, to gather evidence on the effects of an unrestricted FVO.

The proposal included in the Exposure Draft on the FVO is consistent with the view that the equity method is a one-line consolidation procedure. Moving towards its interpretation as a measurement basis would require clearly articulating the underlying principle and amending those passages of IAS 28 and other standards—such as IFRS 18, in our view—that might be affected.